JUSTIFICATION AND APPROVAL FOR OTHER THAN FULL AND OPEN COMPETITION
41 U.S.C. 3304(a)(1))

J&A No.: FY25- 085

Pursuant to the requirements of the Competition in Contracting Act (CICA) as implemented by the Federal Acquisition Regulation (FAR) Subpart 6.3 and in accordance with the requirements of FAR 6.303-1, the justification for the use of the statutory authority under FAR Subpart 6.3 is justified by the following facts and rationale required under FAR 6.303-2 as follows:

1. **Agency and Contracting Activity.**

   The Department of Homeland Security (DHS), Office of Procurement Operations (OPO), Federal Protective Service (FPS), Acquisition Division (AD) proposes to extend the ordering period of Contract 70RFP420DE7000003, with Paragon Systems, Inc., for Armed Protective Security Officer (PSO) services at various sites throughout the state of Louisiana on the basis of other than full and open competition.

2. **Nature and/or Description of the Action being Approved.**

   (a) Nature of action: FPS AD intends to procure Protective Security Officer (PSO) services on a noncompetitive basis for up to seven (7) months, April 1, 2025 through October 31, 2025, to allow time to recompete and finalize award of the competitive follow-on task order and provide adequate time for a transition. This action will result in a modification to extend the ordering period of the current contract to allow placement of a task order to continue critical PSO services throughout Louisiana. The task order will only be issued under this contract for the necessary length of time required, but not to exceed seven (7) months. The current contract is set to expire on March 31, 2025.

   The follow-on procurement is currently in the pre-solicitation phase. Additional time is needed in order to solicit the procurement, evaluate quotes and make a best value award determination. This follow-on effort will also require a transition period of 120 days from the date of award to the performance start date. As such, this extension will allow time to solicit, evaluate and complete the award, in addition to providing an adequate transition period to the new effort for this requirement.

   (b) Name and address of the contractor.

   Paragon Systems, Inc.,
   13900 Lincoln Park Drive
   Suite 300
   Herndon, VA 20171 - 4642

(c) Contract type: Indefinite Delivery Indefinite Quantity (IDIQ), Firm Fixed Price (FFP)

(d) Estimated total value: [redacted]

Period of Performance	Description	CLIN	Rate	Hours	Amount
April 1, 2025 – October 31, 2025	PSO Services	5001	[redacted]	[redacted]	[redacted]
	ESS	5002	[redacted]	[redacted]	[redacted]
			Total	[redacted]	[redacted]

(e) Type of funding: Operations and Support Funds

(f) Year of funding: Fiscal Year 2025 and Fiscal Year 2026.

(g) Solicitation number: Not Applicable

(h) Background information about the requirement.

The existing IDIQ contract was awarded in accordance with FAR part 15, Contracting by Negotiation procedures, using full and open competition to Paragon Systems, Inc., on September 11, 2020, to provide Armed PSO services at various federally owned and leased facilities located throughout the State of Louisiana (LA). The IDIQ currently provides for approximately 140 PSOs covering approximately 42 buildings throughout the State of LA. The IDIQ was awarded with a period of performance (POP) consisting of a base year of twelve (12) months, plus three (3) additional twelve (12) month option years, and up to a six-month option to extend services in accordance with FAR 52.217-8 as follows:

Base Year	Oct 1, 2020 – Sep 30, 2021
Option Year 1	Oct 1, 2021 – Sep 30, 2022
Option Year 2	Oct 1, 2022 – Sep 30, 2023
Option Year 3	Oct 1, 2023 – Sep 30, 2024
52.217-8 (6 mo. Ext)	Oct 1, 2024 – Mar 31, 2025

FPS AD intends to procure PSO services pursuant to FAR 6.302-1 as only one responsible source and no other sources will satisfy agency requirements for the continuation of PSO services at facilities throughout the state of Louisiana.

3. **Description of Supplies/Services.**

The requirement is to provide armed Protective Security Officer (PSO) services at federally owned, leased, or occupied facilities at various locations located throughout the State of Louisiana. In furnishing these services, the contractor, Paragon Systems, Inc., provides all necessary management, supervision, personnel, materials, supplies and equipment, and plans, schedules, coordinates, and ensures effective performance of, and conformance to all aspects of the Statement of Work. Paragon Systems, Inc., is currently performing under the six (6) months option period pursuant to FAR 52.217-8 under competitively awarded contract 70RFP420DE7000003. Services will end under this contract on March 31, 2025. To complete the competitive procurement process and provide a transition period for the follow-on task order, FPS AD finds it necessary to request approval for up to an additional seven (7) months of service under the authority for other than full and open competition cited herein. This will extend the ordering period under Contract 70RFP420DE7000003 from April 1, 2025 through October 31, 2025, in the event all seven months are needed.

The instant action is requested to allow FPS to continue procuring PSO services from Paragon Systems, Inc., under contract 70RFP420DE7000003 while processing the solicitation, evaluation and award of the competitive follow-on task order and the necessary transition period. This will ensure uninterrupted security services at federal facilities throughout Louisiana between the expiration of the existing contract and the start of full performance by the successful vendor under the follow-on effort. The proposed sole source extension will ensure services are provided while the award is being finalized and will also cover the 120-day transition for the new vendor to train and meet all requirements of the contract prior to the security personnel standing post. The requirement fulfills an existing Government need, and the extension of the existing contract is the most advantageous and only practical method of fulfilling the Government's need, price, and other factors considered. This contract extension also takes into account the government's need for continuity of operations and potential costs of disrupting operations. The period of performance for this extension is for up to seven (7) months of additional PSO services from April 1, 2025 through October 31, 2025, at an approximate value of [redacted]

4. **Identification of Statutory Authority Permitting Other Than Full and Open Competition.**

   The statutory authority permitting other than full and open competition is 41 U.S.C. 3304(a)(1) implemented by the FAR Subpart 6.302-1 entitled "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."

5. **Identification of Exception to the Buy American Statute**

   Not Applicable

6. **Demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited**.

Paragon Systems, Inc., is currently satisfactorily performing PSO services under Contract 70RFP420DE7000003 at various locations throughout Louisiana. The contract is set to expire on March 31, 2025. FPS AD is in the process of soliciting a competitive follow-on award.

However, due to unexpected delays throughout the Pre-Solicitation phase of the procurement, the Government requires additional time to solicit the requirement, evaluate quotations and adequately document its source selection decision prior to issuing the award of the follow-on task order, which requires a 120-day transition period in order to avoid a break in services.

Unexpected and unavoidable delays were attributed to the following circumstances:

1) FPS HQ recently initiated mandatory changes to the requirements package related to the Training and Academy Management System (TAMs), updates being made to the requirement to include the revised National Statement of Work (NSOW) as part of a pilot program, and revisions to the Post Exhibit to reflect a 100% post relief for all posts. These multiple changes to the previous requirement were communicated in the fourth quarter (September 2024) of fiscal year 2024, as the FPS Program Office determined these changes were necessary for the requirements for the new 2025 fiscal year, which was received in February 2025 by the Program Office, resulting in a delay of approximately five (5) months. These mandatory FPS-wide changes are a result of operational requests made by multiple customers and were out of the control of both FPS AD and the Region 7 Program Office.

Therefore, the circumstances listed above necessitates an extension of the incumbent contract to allow for the evaluation and award of the follow-on task order and the required transition period.

The government is currently in the pre-solicitation phase of the follow-on requirement. It is anticipated the Request For Quotation (RFQ) will be issued on or about April 14, 2025, and close on May 30, 2025. The follow-on requirement under this contract is estimated to be awarded on or before June 30, 2025, with an anticipated performance start date on or around November 1, 2025. The follow-on task order will have a maximum transition period of 120 days from the date of award to the performance start date. This transition period enables the follow-on contractor to obtain all necessary equipment, licenses, training, and other certifications / suitability requirements for its employees to be able to begin standing post at the start of performance.

Due to extensive screening, training, licensing, and transition requirements for PSOs under the FPS program, another PSO firm cannot immediately replace the existing contractor without a severe and unacceptable degradation in overall security jeopardizing federal government personnel, visitors, and assets. For these reasons, it is also not feasible for any portion of the work to be segregated to allow for competition. The incumbent contractor, Paragon Systems, Inc., is familiar with the instant requirement, facility locations, and has a fully qualified staff in place and is the only contractor at this time that can immediately fulfill the requirement without delay or interruption of services. As a result, an extension of services under the current contract is necessary to ensure a seamless transition takes place from the existing requirement to the follow-on effort.

Title 40 United States Code (U.S.C) §1315 gives DHS the responsibility to protect federal facilities and the people therein. Presidential Policy Directive 21 (PPD-21), and the National Infrastructure Protection Plan (NIPP) further refine DHS's responsibility to protect buildings, grounds, and property that are owned, occupied, or secured by the Federal Government. These documents also establish U.S. policy for the protection and resilience of the Nation's critical infrastructure and provide a framework for integrating efforts designed to enhance the safety of critical infrastructure. Given the reality of terrorist threats, it is in the best interests of DHS and the public to continue to allow the incumbent contractor to provide services until the follow-on task order is appropriately transitioned. Effective PSO services are integral to the FPS mission to respond to terrorist attacks, domestic workplace violence, trespassing, disorderly conduct, and emergency medical situations. PSO services also mitigate threats by detecting firearms, hazardous materials, and suspicious packages at these locations. Due to these critical roles, a modification to extend the current contract 70RFP420DE7000003, with Paragon Systems, Inc., is required to allow placement of a new task order to provide continued services to ensure uninterrupted service, a seamless transition, and to eliminate potential disruption in PSO services.

7. **Description of Efforts Made to Ensure that Offers are Solicited from as Many Potential Sources as is Practicable.**

The circumstance restricting competition for this acquisition is that "only one responsible source and no other supplies or services will satisfy agency requirements," pursuant to FAR 6.302-1. Therefore, no exception to the FAR 5.2 notification requirement applies, and FPS AD intends to post this requirement to SAM.gov on or about March 20, 2025, pursuant to FAR 5.201(b)(1)(ii). FPS AD intends to make this justification publicly available pursuant to FAR 6.305.

8. **Determination by the Contracting Officer that the Anticipated Cost to the Government will be Fair and Reasonable.**

The Contracting Officer has determined that the proposed hourly rate of $57.80 is fair and reasonable based on comparison of the proposed prices to historical prices paid for the same or similar items in accordance with FAR 15.404-1(b)(2)(ii). Paragon submitted a revised price increase for the 7-month extension period, which was reviewed and determined to be fair and reasonable. The price analysis table below shows the comparison of hourly priced rates from different contracts that were competitively awarded for Armed PSO Services, to the current negotiated fixed hourly rate which is proposed for the J&A period. All contracts have similar Statements of Work and similar training/certification requirements as they are all for Armed PSO services.

Contractor	Contract Number	Location	Basic Hourly Rate	Difference
[redacted]	70RFP420DE7000003	LA	[redacted]	[redacted]
[redacted]	70RFP419DE5000004	MI	[redacted]	[redacted]
[redacted]	70RFP421DE6000001	KS	[redacted]	[redacted]
[redacted]	70RFP419DE7000001	Austin, TX	[redacted]	[redacted]

As shown, the rate is competitive to the rates for other PSO services in the marketplace. It is important to note that the vendor is required by the Service Contract Labor Standards to pay increased wages and fringe benefits to PSOs under this contract in accordance with the incorporated Collective Bargaining Agreement (CBA). The hourly rate for PSO services on the current contract is [redacted]. Although the wage adjustment for the current period of performance has not yet been modified in the contract, Paragon requested an hourly increase of [redacted] based on increases to wage rates and fringe benefit increases in the CBA. The difference between the hourly rate for the 6-month extension period (including the [redacted] hour adjustment) and the J&A period is approximately [redacted] per hour. Paragon confirmed that the proposed increase can be attributed to supervisory staff wage increases, inflation, and increased costs for all other direct costs (ODCs), such as ammunition, fuel, intermediate weapons, and uniforms. Further, other items, such as body armor, have expiration dates that require replacement for safety purposes. Generally, medical recertifications, license renewals, and vehicle and office lease terms are all designed for the Base Plus Option Year periods during the initial pricing phase and require adjustment once the initial term has passed.

Based on the analysis above, the PSO hourly rate proposed by Paragon for the extension period is competitively in line with the current range of prices for similar services and is determined to be fair and reasonable. In accordance with FAR 15.403-1(b)(3), no certified cost or pricing data will be required because the service is commercially available to the general public. The proposed rate for the extension period is competitive when compared to the rates for other PSO contracts in a similar geographic area. Only the PSO hourly Basic/ TAS rate was evaluated for price comparison purposes as these services comprise the preponderance of the hours that will be ordered.

The Contracting Officer has determined that issuing the proposed extension of services to Paragon Systems, Inc. will result in the most advantageous method of fulfilling the government's need, price, and other factors considered. This extension also takes into account the government's need for continuity of operations and potential costs of disrupting operations.

9. **Description of Market Research.**

The agency has conducted market research for the new requirement and is familiar with the other potential sources and their qualifications. Based on the market research, other firms could provide PSO services in the state of Louisiana, however they could not do so by April 1, 2025, causing unacceptable delays or potentially jeopardizing the safety of government employees or visitors. Accordingly, no other contractor can provide the services without an unacceptable interruption in service at this time.

10. **Any Other Facts Supporting the Use of Other Than Full and Open Competition.**

Since it is essential that services continue without interruption for the security of the facilities, its tenants, and visitors, and the fact that the current contractor, Paragon Systems, Inc. is performing very good as documented under the Contractor Performance Evaluation Assessment Report (CPAR), it is in the best interest of the government to extend the ordering period for up to seven (7) months under contract 70RFP420DE7000003 with the current contractor.

11. **A Listing of the Sources, if Any That Expressed, in Writing, an Interest in the Acquisition.**

    Not Applicable.

12. **A Statement of the Actions, if Any, the Agency May Take to Remove or Overcome Any Barriers to Competition Before Any Subsequent Acquisition for Supplies or Services Required.**

    This requirement is for the sole purpose of issuing a modification to continue Armed PSO services under contract 70RFP420DE7000003 until the competitive follow-on is awarded and transitioned to start. The agency is currently processing a follow-on requirement which is taking longer than originally projected due to unanticipated issues and delays. FPS AD plans to make award no later than June 30, 2025, with the new award to start by November 1, 2025. It is essential that Armed PSO services continue without interruption for the security of federal facilities throughout the state of Louisiana to ensure the safety of government employees, government facilities, and its visitors at these locations.

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